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UNIT VII TRADE

CHAPTER 22 TYPES OF TRADE

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Learning Objectives

To enable the students to

i. understand the meaning of trade

ii. explain the features of trade

iii. explain the different types of trade

Introduction

In continuation to the business finance dealt in the previous chapter, this chapter will present details about types of trade. Under 'barter system' in olden days goods were exchanged for goods. After the invention of money as a medium of exchange, all purchases are made in exchange of money. Similarly sale transactions are possible in exchange of money. The producers producing the goods in large quantities find it difficult to sell the goods directly to the scattered consumers. Trade connects producers and consumers and enables them to sell and purchase from wherever they are.



22.01 Trade - Meaning

The buying and selling of goods and services consists of trade. The essence of trade is to make goods and services available to those persons who need them and are able and willing to pay for them. Trade is conducted in order to earn profit. Trade acts as an intermediary in the exchange of commodities between the producer and consumer.

Classification of Trade

On the basis of geographical location of buyers and sellers, trade can be broadly classified into two categories;

(i) Internal trade and

(ii) External trade

Internal Trade – Meaning

Buying and selling of goods and services within the boundaries of a nation are called internal trade. It takes place between buyers and sellers in the same locality, village, town or city or in different states, but definitely within the same country. Internal trade is also called domestic trade or home trade.